

Amazon.com, Inc.
AMZN NASDAQ

Buy **\$251.71 ▲ 2.34%** 12M Price Target **\$295.00** 52-Week Range **\$196.00 – \$287.20**

Market Cap
\$2.71T

AMZN: Bounces Back as AI Capex Story Reasserts Itself

WHAT HAPPENED

- AMZN snapped back +2.34% after three ugly red days — the tell is the Generac headline: Amazon just signed a \$2.4B deal for backup generators for data centers. That's a massive tangible signal that AWS capex is ramping, not tapering, which had been the market's biggest fear about big tech lately.
- Offsetting that: a fatal cargo plane crash in Miami is putting Amazon Air under scrutiny. Not a stock-mover today, but it opens the door to FAA rulemaking on Amazon's logistics network — worth filing away.

WHY IT MATTERS

The Generac deal is more important than the price move suggests — when Amazon commits \$2.4B just for *generators*, it's telling you the actual data center spend behind it is 10-20x that number. This confirms the AI infrastructure arms race is still accelerating, and AWS remains the volume leader. The options flow backs this up: put/call ratio of 0.38 with unusual call buying at \$235 and \$237.50 strikes means big money is positioning for more upside, not hedging downside. The bearish signal — insider selling from the retail CEO and general counsel — is real but looks like routine 10b5-1 plan sales rather than a panic exit; Bezos's "OTHER" transactions are likely gifts or trust transfers, not open-market sales.

POLICY & POLITICAL WATCH

Two things to watch: First, the FTC antitrust case against Amazon is still grinding through the courts — a ruling could come in the next 6-12 months, and while a forced breakup is unlikely, any structural remedy (like separating Prime from marketplace) would be a real overhang. Second, the current administration's push on AI infrastructure — including permitting reform for data centers and power generation — is a direct tailwind because AWS is the biggest beneficiary of anything that speeds up compute buildout. Also keep an eye on Section 230 reform chatter and any tariff escalation on Chinese electronics, which hits the retail margin side.

IS IT EXPENSIVE?

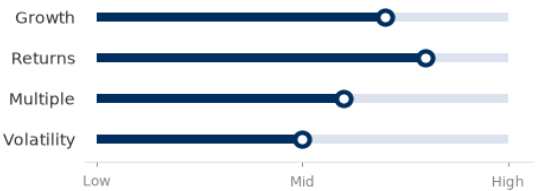
At ~\$252, you're paying about 37x forward earnings — not cheap, but Amazon has traded at 40-60x for most of the last decade and the earnings base is finally real (AWS operating margins are near 35%). On EV/EBITDA you're paying about \$17.50 for every \$1 of pre-tax cash profit, which is roughly in line with MSFT and cheaper than pure-play cloud names. The setup makes sense if you believe AWS grows 18%+ and retail margins keep expanding — both of which are happening.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$251.71
12M Price Target	\$295.00
Upside / (Downside)	+17.2%
Market Cap	\$2.71T
FY2026E Revenue	\$743M
FY2027E Revenue	\$825M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.10
Fwd P/E	36.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$270.00	\$258.00	\$240.00
6 Months	\$300.00	\$275.00	\$230.00
1 Year	\$330.00	\$295.00	\$225.00
2 Years	\$400.00	\$340.00	\$220.00
5 Years	\$550.00	\$425.00	\$200.00
10 Years	\$900.00	\$650.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.31%) is leading again as AI names rally — the market is back to believing the capex story after a couple of shaky weeks. Anything data center adjacent (power, cooling, generators) is ripping.

COOLING OFF: Utilities and Real Estate are lagging on a 5-day basis — rates are choppy and the "boring dividend" trade isn't working when tech is running.

ROTATION WATCH: Money is rotating from software (Salesforce still selling off) into infrastructure and hyperscalers. The market is picking winners inside AI — it wants the picks-and-shovels players, not the app layer.

RELATED PLAY: Data center infrastructure names (Generac, Vertiv, Eaton) and nuclear/power names benefit from every Amazon capex announcement. If you want AMZN exposure with more leverage, that's where to look.

WHO'S WINNING IN THIS SPACE?

- GENC (Generac): Ripped 16% on the Amazon deal — direct beneficiary of hyperscaler capex.
- NVDA (Nvidia): Still the tip of the AI spear; every AWS capex dollar eventually flows to them.

AMZN CONTEXT: Amazon is a middle-of-the-pack performer in mega-cap tech right now — trailing NVDA and MSFT, ahead of GOOGL (which is down 7% over 3 months on search/AI worries). That's actually a good setup — AMZN is under-owned relative to the AI narrative and has room to catch up if AWS numbers surprise.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I like this here. The AI capex story is real, the options market is telling you smart money is long, and the valuation isn't stretched relative to the growth.

POSITION SIZE: 4-6% of portfolio. It's a mega-cap so you can size up, but I wouldn't go beyond 6% because the antitrust overhang is real.

ENTRY POINTS: \$245-250 is a fine entry right now. If we get a macro pullback to \$235-240, back up the truck — that's where the unusual call buying is clustered, which tells you where institutional money sees the floor.

TIME HORIZON: 12-24 months. Catalysts to wait for: Q3 earnings (AWS growth print), holiday retail season, and any FTC settlement news.

WHEN TO BAIL: AWS growth prints below 15% two quarters in a row, or an FTC ruling that forces structural changes to the business.

HEDGING: If you're worried about a broader market pullback, buy a small put spread 5-10% out of the money — think of it as cheap insurance. Or pair the long with a short in a more expensive cloud name so you're betting on Amazon specifically, not tech broadly.